Blurt sheet - Unit 3.3 Marketing management

3.3.1 Marketing Objectives

- **Marketing objectives (AQA):** sales volume, sales value, market size, market and sales growth, market share, brand loyalty
- **Sales volume:** number of units sold
- **Sales value:** revenue from sales
- **Brand loyalty:** customers repeatedly choosing the brand

3.3.2 Market Research & Sampling

- **Primary research:** new data collected for a specific purpose
- **Secondary research:** data that already exists
- **Quantitative data:** numerical
- **Qualitative data:** opinions, feelings and reasons
- **Random sampling:** everyone has an equal chance of being chosen
- **Stratified sampling:** population split into groups, random sample from each in proportion
- **Quota sampling:** set number of people with certain characteristics

3.3.2 Market Data

- **Market growth (%):** change in market size ÷ original market size × 100
- **Sales growth (%):** change in sales ÷ original sales × 100
- **Market share (%):** sales of one business ÷ total market sales × 100
- **Correlation:** relationship between two variables; positive or negative, strong or weak; not proof of cause
- **Confidence interval:** range in which the true figure is likely to lie, at a stated level of confidence
- **Extrapolation:** extending a past trend to forecast

3.3.2 Price & Income Elasticity of Demand

- **PED:** responsiveness of quantity demanded to a change in price
- **Price elastic:** above 1 (ignoring sign); price cut raises revenue
- **Price inelastic:** below 1; price rise raises revenue
- **YED:** responsiveness of quantity demanded to a change in income
- **Normal good:** positive YED
- **Inferior good:** negative YED
- **Elasticity calculations:** interpret only; you are not asked to calculate PED or YED

3.3.3 Segmentation, Targeting & Positioning

- **Segmentation methods (AQA):** demographic, geographic, income, behavioural
- **Niche marketing:** small, specialised segment
- **Mass marketing:** whole market with one approach
- **Positioning:** how the product is seen compared with rivals
- **Market mapping:** brands plotted on two axes customers care about, showing gaps and clusters

3.3.4 The 7Ps & an Integrated Mix

- **7Ps:** product, price, promotion, place, people, process, physical environment
- **Integrated mix:** every element supports the others
- **Influences on an integrated mix (AQA):** product life cycle, Boston Matrix, product type, marketing objectives, target market, competition, positioning

3.3.4 Product: Life Cycle, Extension & NPD

- **Product life cycle stages:** development, introduction, growth, maturity, decline
- **Extension strategies:** new uses, new markets, new versions, packaging, price changes, new promotion
- **New product development:** replaces declining products; costly and risky

3.3.4 Product: Portfolio Analysis

- **Boston Matrix axes:** market share and market growth
- **Star:** high share, high growth
- **Cash cow:** high share, low growth
- **Question mark:** low share, high growth
- **Dog:** low share, low growth
- **Limitations of the Boston Matrix:** snapshot, market definition, dogs may still be profitable

3.3.4 Price

- **Penetration pricing:** low price at launch to gain share, raised later
- **Price skimming:** high price at launch, lowered over time
- **Dynamic pricing:** prices change with demand and data in real time
- **Influences on price:** PED, costs, competitors, objectives, life cycle stage, rest of the mix

3.3.4 Promotion

- **Branding:** name, design or image that makes a product recognisable; builds loyalty, lowers PED
- **Social media:** targeted, low cost, measurable, two-way; less control
- **Viral marketing:** content customers share, spreading the message rapidly

3.3.4 Place, People, Process & Physical Environment

- **Multi-channel distribution:** selling through more than one channel
- **People:** staff who deal with customers
- **Process:** systems customers go through, e.g. ordering, delivery, returns
- **Physical environment:** what customers see and experience

3.3.4 Digital Marketing & E-commerce

- **Digital marketing:** marketing through websites, search, social media, email and apps
- **E-commerce:** buying and selling online
- **Relationship marketing:** building long-term customer relationships, e.g. loyalty schemes